

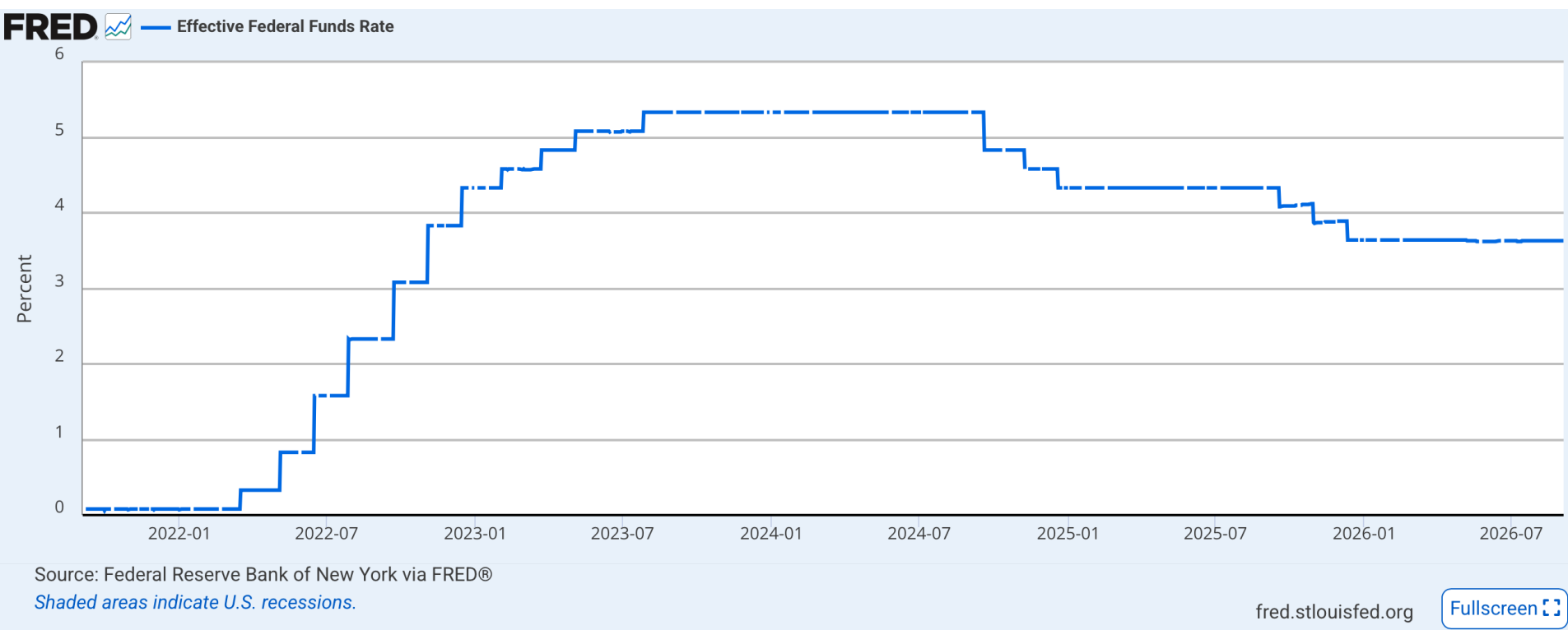
Projecting the US Federal Funds Rate to Late October - A 2-Month Forward Scenario Analysis

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Note: All the analyses are based on information as of Sep 5, 2026

Market Summary - EFFR

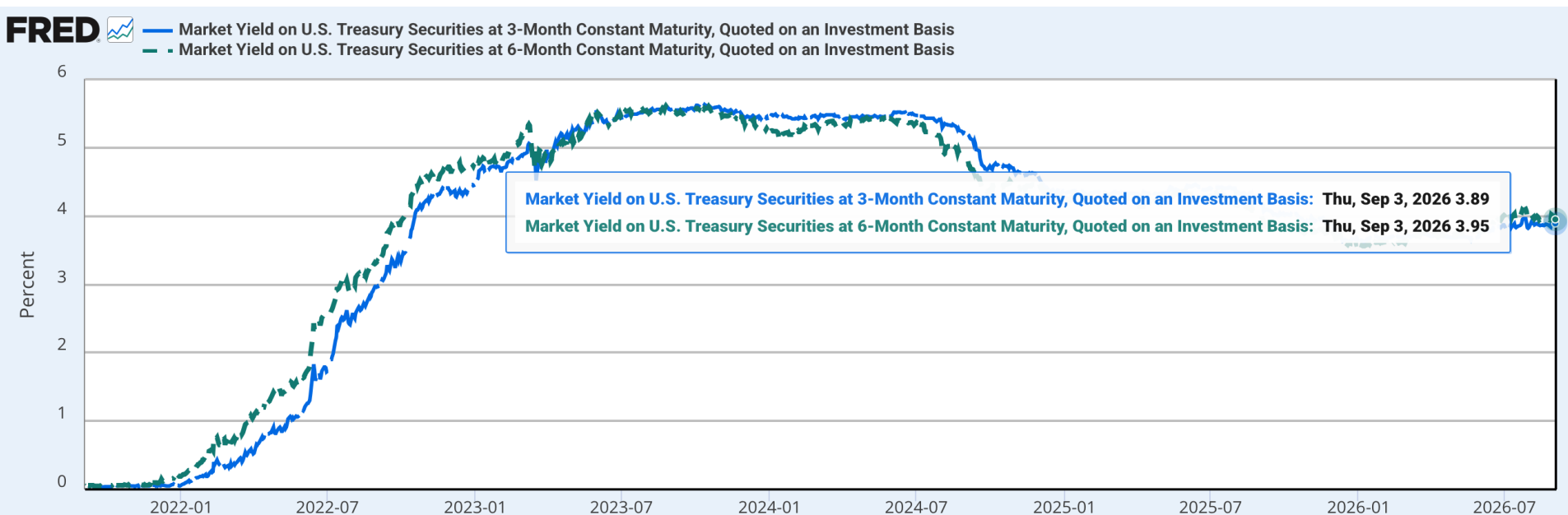
- Current target range: 3.50%-3.75%
- Next FED Meetings: Sep. 16 and Oct. 28



Source: <https://fred.stlouisfed.org/graph/?g=1YeVr>

Market Summary - Short-term US Treasury Market Yield

- As of September 3, 2026:
 - 3-month T-bill decreased by 6.5% YoY
 - 6-month T-bill increased by 0.25% YoY



Source: Board of Governors of the Federal Reserve System (US) via FRED®

Shaded areas indicate U.S. recessions.

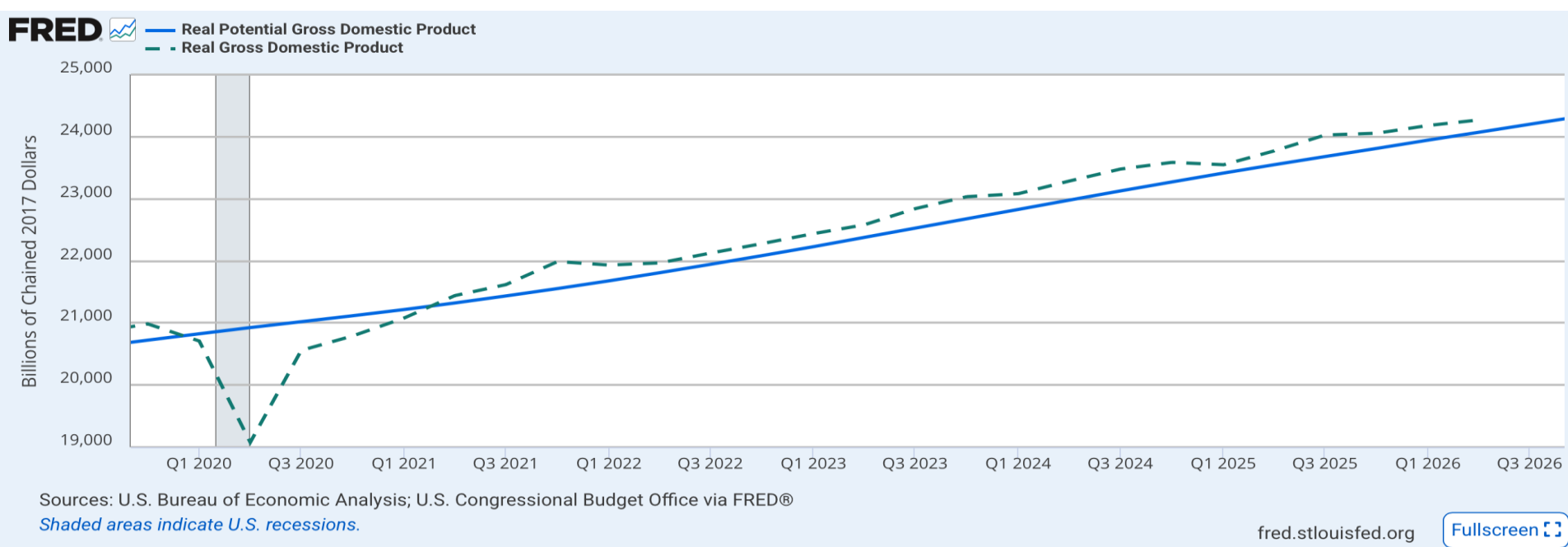
fred.stlouisfed.org

Fullscreen

Source: <https://fred.stlouisfed.org/graph/?g=1YeNy>

Market Summary - Real and Potential GDP

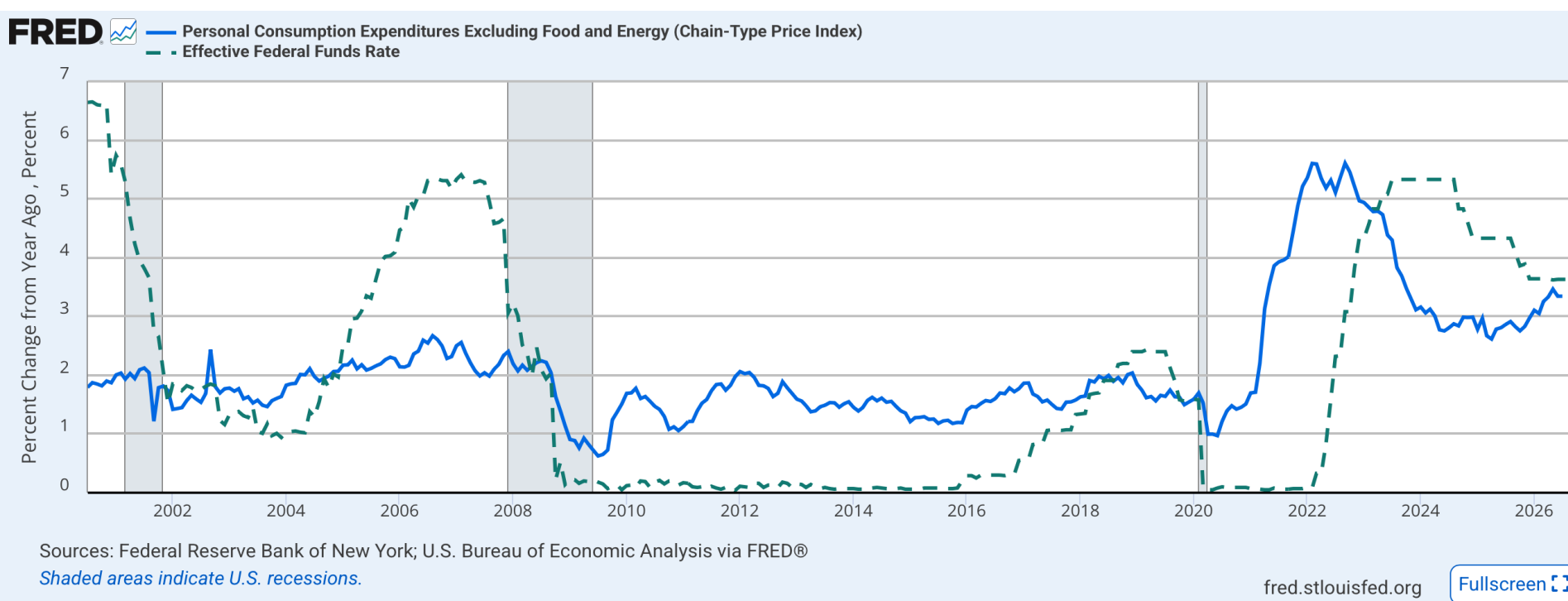
- Real GDP has exceeded real potential GDP over the last five years through Q2 2026
 - A positive output gap increases the probability of elevated interest rates through 2027



Source: <https://fred.stlouisfed.org/graph/?g=1YeUT>

Market Summary – Core PCE Inflation

- Core PCE inflation is at 3.3% YoY as of July 2026
- Inflation has exceeded the 2.0% FED target since February 2020
- Nominal Rate (3.63%) - Core PCE Inflation (3.3%) = Real federal funds rate (0.33%)



Source: <https://fred.stlouisfed.org/graph/?g=1YeQO>

Market Summary - ISM PMI August 2026

(Service: 55.4 Manufacturing: 54.6)

ISM Manufacturing vs. Services PMI (Jan 2025 - Aug 2026)

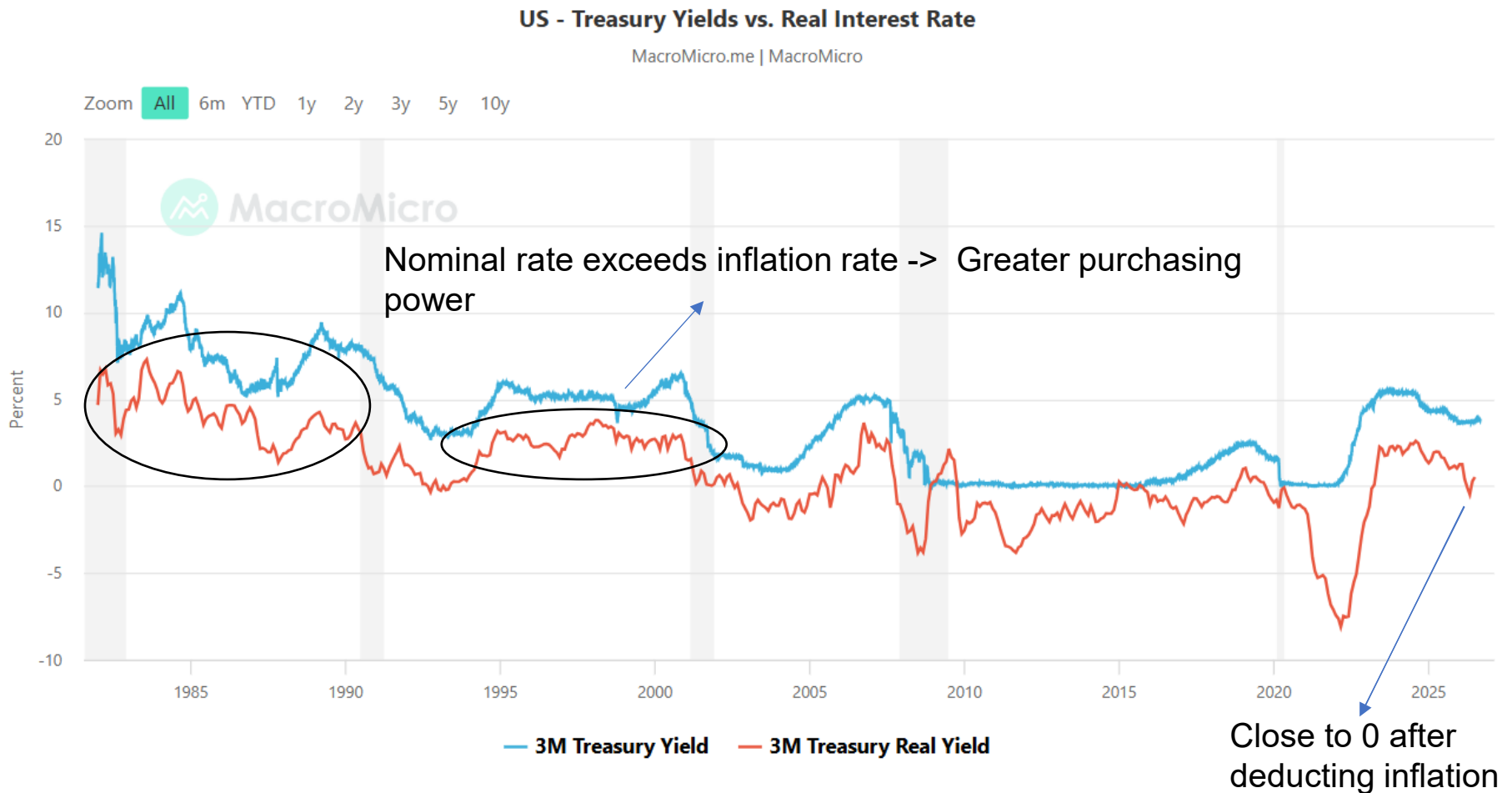
Month	Jan '25	Feb '25	Mar '25	Apr '25	May '25	Jun '25	Jul '25	Aug '25	Sep '25	Oct '25	Nov '25	Dec '25	Jan '26	Feb '26	Mar '26	Apr '26	May '26	Jun '26	Jul '26	Aug '26
Manufacturing	50.9	50.3	49.0	48.7	48.5	49.0	48.4	48.9	48.9	48.8	48.0	47.9	52.6	52.4	52.7	52.7	54.0	53.3	55.6	54.6
Services	52.8	53.5	50.8	51.6	49.9	50.8	50.1	52.0	50.0	52.4	52.6	53.8	53.8	56.1	54.0	53.6	54.5	54.0	54.1	55.4

■ Contraction (< 50)
 ■ Mild Expansion (50 - 52.9)
 ■ Strong Expansion (>= 53)

Source: Institute for Supply Management (ISM) monthly PMI reports

Source: <https://www.ismworld.org/supply-management-news-and-reports/reports/ism-pmi-reports/>

Treasury Real Yield



Source: <https://en.macromicro.me/charts/3361/real-interest-rate-yield>, updated 09/05/2026

FOMC is in a tough spot: Hike or wait?

Inflation, Employment, and Economy

Fed Next move - Inflation vs Employment

FOMC is now actively debating the next up move



Source: <https://tradingeconomics.com/united-states/unemployment-rate>, updated 09/05/2026

Inflation Dynamics: Sticky Core, Supply-Shocked Headline

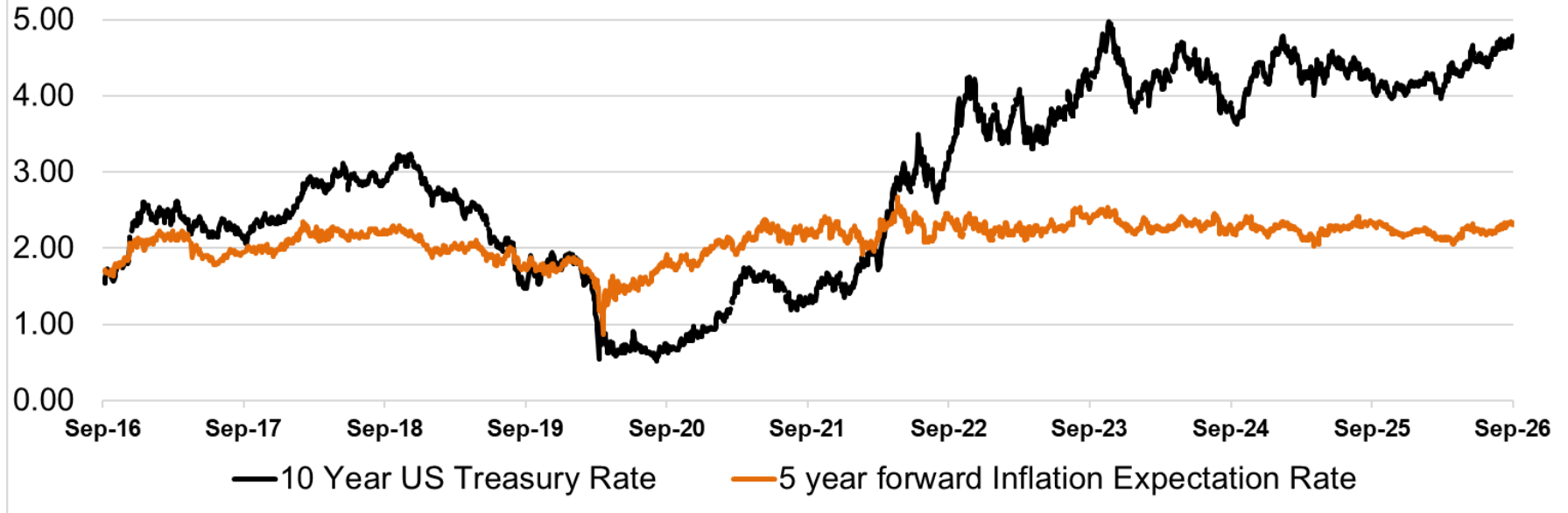
Inflation is the single most important driver of the Fed's reaction function in the current cycle.

Inflation Metric	Latest	MoM	Fed Target	Gap to Target
Core PCE (YoY)	3.3%	+0.2%	2.0%	+130 bps
Headline PCE (YoY)	3.7%	+0.2%	2.0%	+170 bps
Q2 Core PCE (annualized)	3.6%	Revised +0.2pp	2.0%	+160 bps
Headline CPI	3.4%	-	2.0%	+140 bps

- 1. Energy Supply Shock**
- 2. Tariff Layer**
- 3. Wage-Price Dynamics**
- 4. Sticky Services**

Source: <https://tradingeconomics.com/united-states/pce-price-index-annual-change>, updated 09/05/2026

Inflation expectations - Long end: 10-year rate & 5-year expectation



Country/Region/World

United States

Contributor

Browse

Contributor Composite

Private

Official

Yearly

Quarterly

Actual/Forecasts

Probability of Recession

22.0%

Indicator	Q3 25	Q4 25	Q1 26	Q2 26	Q3 26	Q4 26	Q1 27	Q2 27	Q3 27	Q4 27
Price Indices										
CPI (YoY%)	2.9	2.7	2.7	3.9	3.3	3.3	3.0	2.0	2.2	2.2
PCE Price Index (YoY%)	2.7	2.8	3.1	3.8	3.6	3.5	3.0	2.2	2.3	2.2
Core PCE (yoy%)	2.9	2.9	3.1	3.4	3.3	3.2	2.7	2.5	2.4	2.4

Source:

[1] <https://fred.stlouisfed.org/series/dgs10>

[2] <https://fred.stlouisfed.org/series/t5yifr>

Labor Market Aug: Better than expected

August 2026 Employment Snapshot

Unemployment Rate: 4.1%

Nonfarm Payrolls: +162,000 (3x consensus)

Labor Force Participation: +0.2pp (rebounding)

Long-Term Unemployed: 1.9M (27% of jobless)

August Payrolls Catalyst:

Printed +162K, with June-July revised up a combined +55K.

Recession-signal risk receded, and labor-market tail risk shifted toward the Hawkish scenario.

Indicator	Actual / Forecasts					Probability of Recession					22.0%
	Q3 25	Q4 25	Q1 26	Q2 26	Q3 26	Q4 26	Q1 27	Q2 27	Q3 27	Q4 27	
Labor Market											
Unemployment (%)	4.3	4.5	4.3	4.3	4.2	4.3	4.3	4.2	4.2	4.2	

Source: <https://tradingeconomics.com/united-states/unemployment-rate>

GDP Growth: Slowing, Not Contracting

Country/Region/World

United States

Browse

Contributor

Private

Official

Contributor Composite

Yearly

Quarterly

Actual / Forecasts

Probability of Recession

22.0%

Indicator	Q3 25	Q4 25	Q1 26	Q2 26	Q3 26	Q4 26	Q1 27	Q2 27	Q3 27	Q4 27
Economic Activity										
Real GDP (YoY%)	2.3	2.0	2.7	2.1	1.7	2.1	2.1	2.2	2.2	2.2
Real GDP (QoQ% SAAR)	4.4	0.5	2.1	1.5	2.5	2.0	2.1	2.1	2.2	2.2
Consumer Spending ...	3.5	1.9	0.5	3.4	2.1	2.0	2.0	2.0	2.1	2.1
Government Spendin...	2.2	-5.6	4.4	-1.0	1.5	1.4	1.2	1.2	1.1	1.1
Private Investment ...	0.0	2.3	7.9	2.7	6.0	4.6	3.6	3.8	3.7	3.7
Exports (QoQ% SAAR)	9.6	-3.2	10.9	4.5	2.5	2.6	2.5	2.6	2.6	2.6
Imports (QoQ% SAAR)	-4.4	-1.0	11.8	12.5	3.5	3.6	2.6	3.0	2.7	2.7

What Does This Mean for the Fed?

- Growth is slowing: Q2 GDP fell to 2.1%.
- Demand remains resilient: Private domestic demand grew 4.2%.
- Rate implication: Slower growth supports a Fed hold over further tightening.

Source: Bloomberg Terminal, GDP Consensus

Key Macro Indicators Dashboard

Indicator	Current Value	Prior / Trend	Rate Implication	
Fed Funds Target Range	3.50%-3.75%	Cut Dec 2025	Floor under short rates	Hike
2-Year Treasury Yield	4.39%	+76 bps YoY	Front-end term premium elevated	
Core PCE (YoY)	3.3%	Sticky above 2%	Argues for hold/hike	
Headline PCE (YoY)	3.7%	Energy pass-through	Iran conflict supply shock	
Unemployment Rate	4.1%	Flat	Support hike	
Q2 GDP (annualized)	1.5%	Down from 2.1% in Q1	Growth fragility	Hold
Personal Saving Rate	3.0%	Multi-year low	Consumption at risk	
FY2026 Deficit	~\$1.9T projected	\$1.8T in 10 months	Structural rate floor	

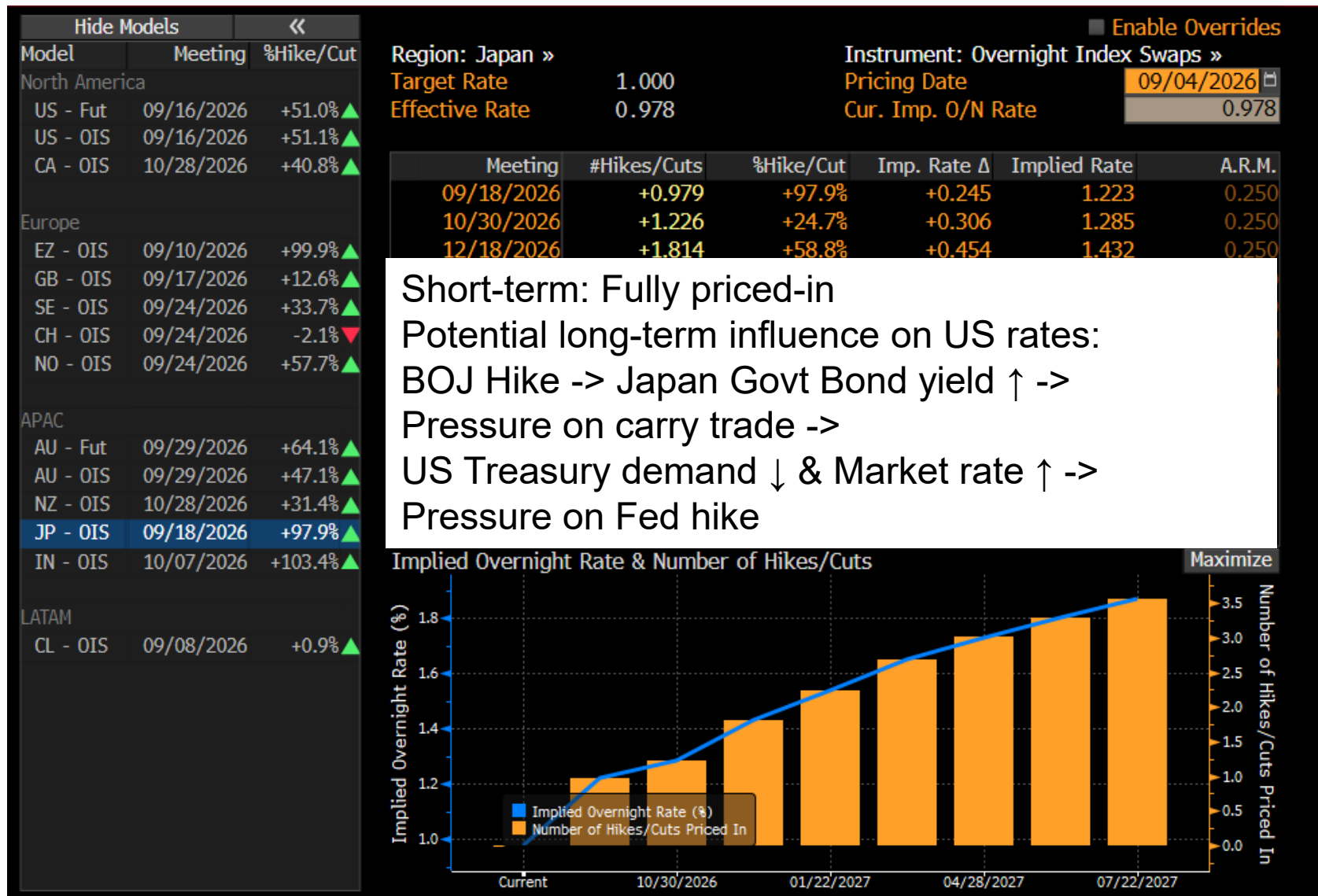
Key Insight: A classic stagflation dilemma - Core PCE at 3.3%, PMI, and strong employment justifies hiking, but GDP at 1.5% and a 3.0% saving rate reverse

Sources: BEA, BLS, CBO, NY Fed, Trading Economics

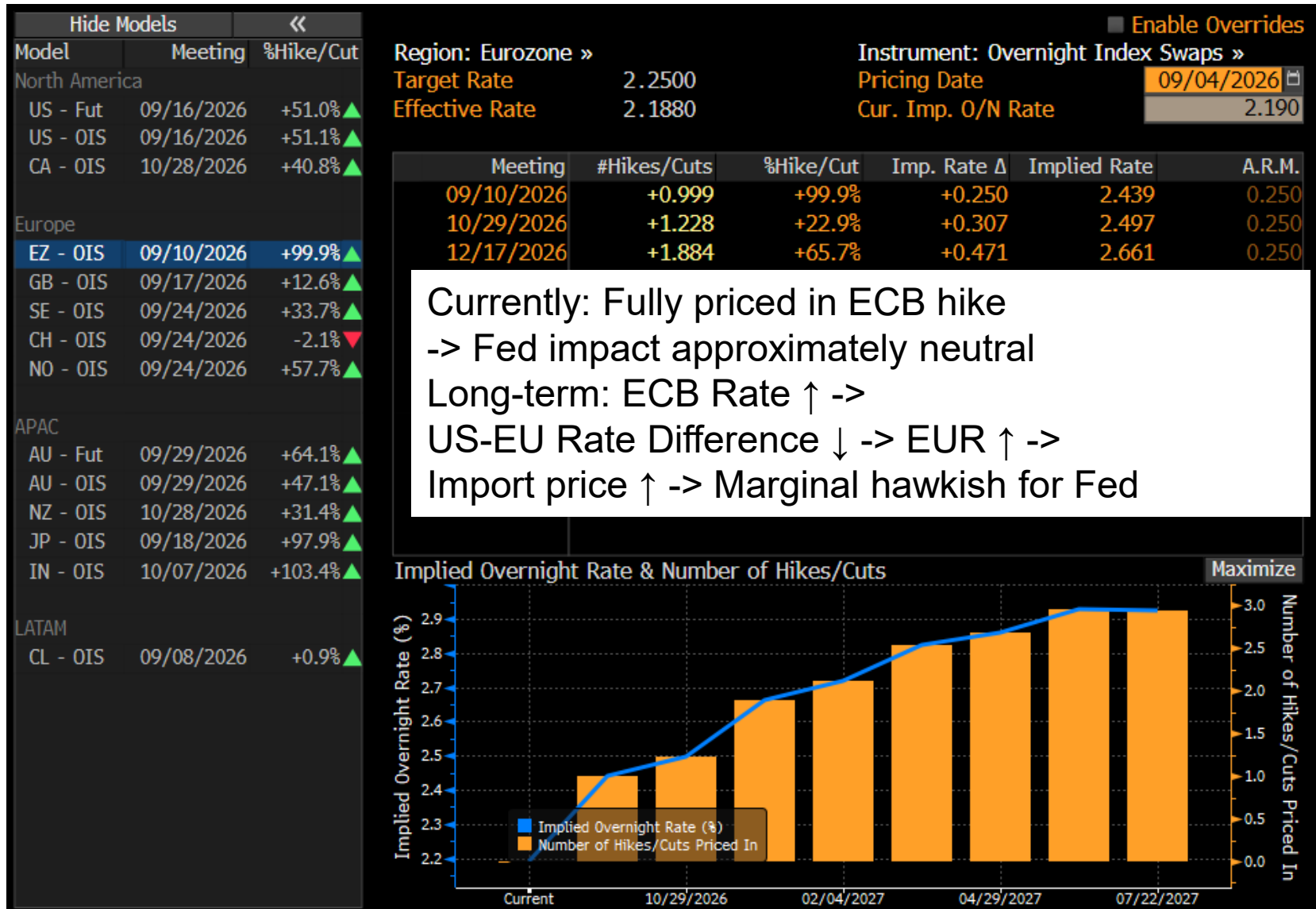
Factors Outside the US

Foreign banks and Iran

Other central banks - Japan implied rate



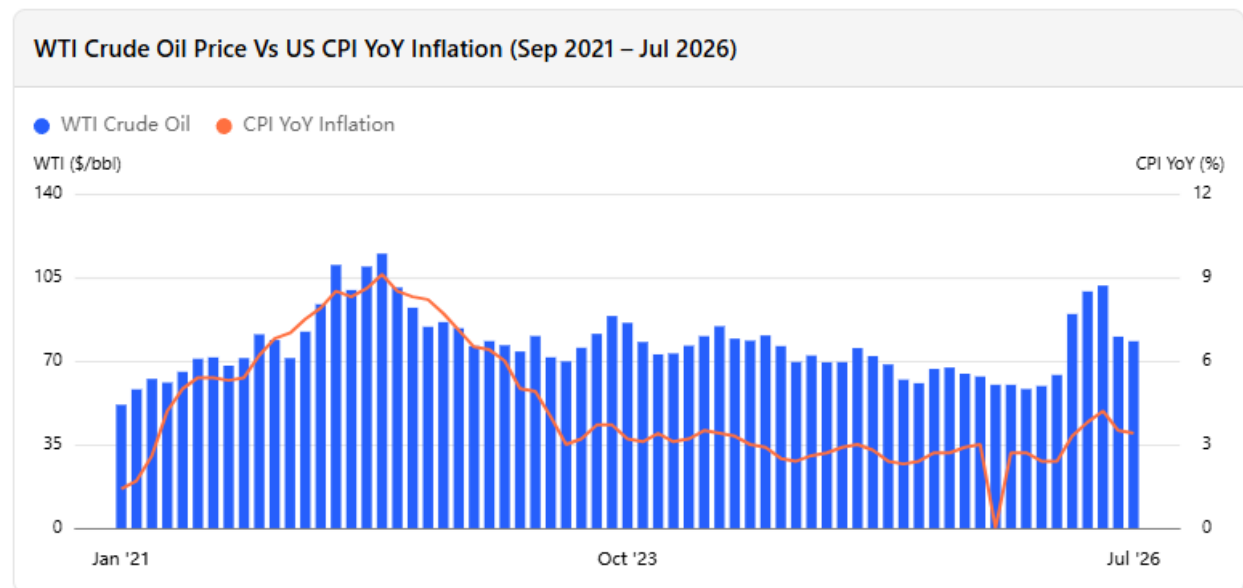
Other central banks - EU implied rate



Iran Conflict & Trade Dynamics: The Stagflation Engine

Strait of Hormuz Closure: *'largest supply disruption in the history of the global oil market.'*

FOMC Minutes : *'Oil prices ended the period higher following the escalation of tensions in the Middle East' and 'nominal rates rose largely on expectations of higher policy rates.'*



U.S. Strikes Three Iranian Ships After Missiles Fired at American Aircraft Carrier

-WSJ Sep 6, 2026

Attack by Iran on Navy warships amounts to major escalation, U.S. officials said

Fed Guidance & Market Reaction

Fed forward guidance, Market pricing for Oct 2026

Hawkish stance in Fed communications

Christopher Waller (Sep. 3):

- If disinflation continues, he will support holding rates.
- But if inflation in August is hot, he would consider a rate hike in September.

Kevin Warsh (Aug. 28):

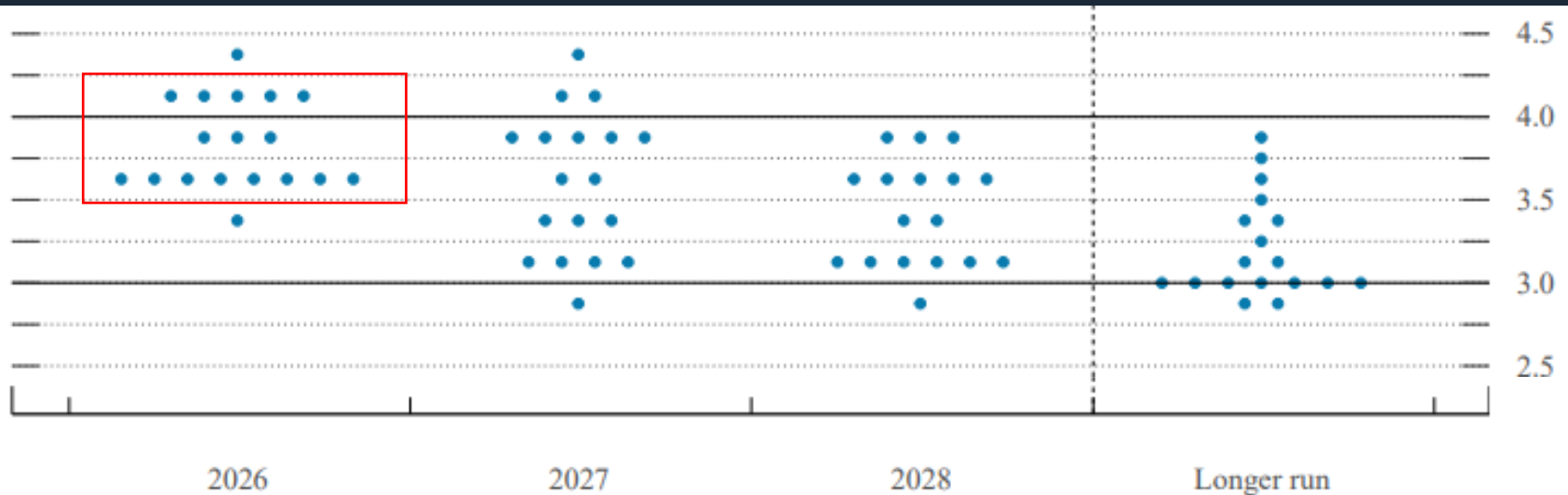
- Strong economy and labor
- Inflation well above 2%
- *“Fed must be confident inflation is moving toward 2% “clearly and at sufficient speed”; otherwise, policy needs to do more.”*

Source:

[1] <https://www.federalreserve.gov/newsevents/speech/waller20260903a.htm>

[2] <https://www.federalreserve.gov/newsevents/speech/warsh20260828a.htm>

Fed Guidance (June 17, 2026) vs Market (Sep 5, 2026)



CME FEDWATCH TOOL - CONDITIONAL MEETING PROBABILITIES								
MEETING DATE	325-350	350-375	375-400	400-425	425-450	450-475	475-500	500-525
9/16/2026	0.0%	40.6%	59.4%	0.0%	0.0%	0.0%	0.0%	
10/28/2026	0.0%	29.8%	54.4%	15.8%	0.0%	0.0%	0.0%	0.0%
12/9/2026	0.0%	14.0%	41.4%	36.3%	8.4%	0.0%	0.0%	0.0%

Source:

[1] <https://www.federalreserve.gov/monetarypolicy/files/fomcprojtabl20260617.pdf>

[2] <https://www.cmegroup.com/markets/interest-rates/cme-fedwatch-tool.html>

Late Oct Scenario Analysis & Our Forecast

Base case, hawkish, and dovish paths for Fed Funds using Taylor Rules

Four Scenarios

Dovish Sep Hold -> Oct Hold

July CPI showed
Disinflation
Headline CPI MoM +0.1%
Core CPI MoM +0.2%

Hawkish Sep Hike -> Oct Hike

Fed Inflation concern
Strong labor result
Hawkish Fed communication

Base Dovish Sep Hold -> Oct Hike

Inflation above target but
weak GDP
Wait to decide

Highly Likely

Base Hawkish Sep Hike -> Oct Hold

Strong August labor
Expansive PMI
Elevated core PCE

Base Dovish: Sep Hold, Oct Hike

Market Thinks This Is Less Likely

The market only gives this path about 22%. Hike then hold is way more likely at 32%. We are sticking with it because we think the Fed wants to see the CPI print before it commits to a hike.

Why This Happens

Jobs beat looks noisy: It follows a big +55K revision to June and July, so the Fed may want another month to trust it.

Fed holds in September: Waiting to see the Aug CPI report on Sep 11 and how tariffs are hitting prices.

October data turns hawkish: Sep jobs and Sep CPI both come in firm enough to justify a hike.

Mandate balance shifts: By October, the Fed decides inflation risk matters more than a cooling labor market, so it reverses the September hold.

Sources: [CME FedWatch](#), [BLS Jobs Report](#), [FOMC July Minutes](#)

Base Hawkish: Sep Hike, Oct Hold

Aug Jobs Report

Payrolls: +162K vs 53K expected

Unemployment: 4.1%,
unchanged

Jun/Jul revisions: +55K
combined

Since Jackson Hole

Hike odds: 55% up to 58%-62%

Sahm Rule trigger: did not fire

Next big date: Aug CPI, Sep 11

Why This Happens

Inflation stays hot: Core PCE is still stuck around 3.3%. Warsh already said at Jackson Hole that the Fed still has work to do.

Jobs report kills the dovish case: The +162K beat blew past the 53K estimate and unemployment held at 4.1%. That was the exact report that could have triggered the Sahm Rule, and it didn't.

Fed hikes once: To prove they are serious about inflation after all that hawkish talk from Warsh.

Then pauses in October: The Fed wants to see how the new 10%-12.5% tariffs actually hit prices before doing anything else.

Sources: [BLS Jobs Report](#), [CME FedWatch](#), [Jackson Hole coverage](#)

Estimate using Taylor Rule

Step 1:

Estimate = Real Rate + Current Inflation Rate
+ Alpha*(Current Inflation Rate – Target Inflation Rate)
+ Beta * Factor * (NAIRU - Unemployment)

Step 2:

Adjustment for Policy Inertia = $\text{Pho} * \text{Prev Fed Rate} + (1 - \text{Pho}) * \text{Estimate}$

$$i_t = i^* + 0.5(\pi_t - \pi^*) + 0.5(y_t - y^*)$$

*nominal
neutral rate* *inflation
gap* *output
gap*

How our view different from Bloomberg preset

Taylor Rule Est	Neutral Real Rate	Inflation Core PCE	Alpha	Infl - Target	Beta	Factor	Okun NAIRU - Unemp
6.92	= 2.00	+ 3.34	+ [0.50	*(3.34 - 2.00)	+ [0.50	* 2.00	*(5.00 - 4.10)

Adjustment for Policy Inertia	Rho	Prev FED Rate	(1 - Rho)	Taylor Est.
6.92	= [0.00	* 3.75	+ [(1 - 0.00)	* 6.92]

Bloomberg Preset

Our Adjustments:

Real Rate: Use the longer-run nominal Fed funds rate 3.1% minus inflation target 2%, **2.00 -> 1.00**

Inflation: Use the estimated Oct demand Inflation base, because a Fed rate hike is effective primarily against demand inflation and much less effective against an oil shock or tariff shock, **3.34 -> 3.00**

NAIRU: Use an equilibrium unemployment rate, **5.00 -> 4.00**

Rho: More weight on recent Fed rate, **0.00 -> 0.75**

Output for estimated Oct Fed Fund Rate: **6.92 -> 3.91**

Different Scenario matrix - Oct 2026

		Unemployment Rate								
Inflation Base		3.50	3.65	3.80	3.95	4.10	4.25	4.40	4.55	4.70
	2.80	4.01	3.98	3.94	3.90	3.86	3.83	3.79	3.75	3.71
	2.85	4.03	3.99	3.96	3.92	3.88	3.84	3.81	3.77	3.73
	2.90	4.05	4.01	3.98	3.94	3.90	3.86	3.83	3.79	3.75
	2.95	4.07	4.03	3.99	3.96	3.92	3.88	3.84	3.81	3.77
	3.00	4.09	4.05	4.01	3.98	3.94	3.90	3.86	3.83	3.79
	3.05	4.11	4.07	4.03	3.99	3.96	3.92	3.88	3.84	3.81
	3.10	4.13	4.09	4.05	4.01	3.98	3.94	3.90	3.86	3.83
	3.15	4.14	4.11	4.07	4.03	3.99	3.96	3.92	3.88	3.84
	3.20	4.16	4.13	4.09	4.05	4.01	3.98	3.94	3.90	3.86

3.50%–3.75% Hold

3.75%–4.00% 1 Hike

4.00%–4.25% 2 Hike

Based on our estimation, we think **1 hike in the next two months** has the highest probability of leading to the Oct Fed Fund rate at 3.75% - 4.00%

Conclusion: Our forecast for Oct Fed Fund rate

View	Result	Target range	Market Probability	Our View	Variance vs market
Dovish	Sep Hold, Oct Hold	3.50%–3.75%	30%	20%	-10%
Base-dovish	Sep Hold, Oct Hike	3.75%–4.00%	22%	27%	5%
Base-hawkish	Sep Hike, Oct Hold	3.75%–4.00%	32%	47%	15%
Kawkish	Sep Hike, Oct Hike	4.00%–4.25%	16%	6%	-10%

More Catalysts to watch before the Sep FOMC result

Catalyst Name	Date	Hawkish result	Neutral	Dovish result
August PPI	Sep. 10	Core/PCE-related $\geq 0.3\%$ MoM	$\sim 0.2\%$	$\leq 0.1\%$
ECB Policy	Sep. 10	More hawkish + weaker USD	Expected policy outcome	Global tightening takes effect
August CPI	Sep. 11	Core $\geq 0.3\%$ MoM	Core $\sim 0.2\%$ MoM	Core $\leq 0.1\%$
Michigan Exp	Sep. 11	Expectations materially higher	Expectations broadly stable	Expectations fall materially
Aug Retail Sales	Sep. 16	$> 0.4\%$ MoM	$\sim 0.1\text{--}0.3\%$	Flat/negative MoM
Treasury yields	Continuous	Breakevens rise, USD weakens, credit/equity conditions ease	Broadly stable	Real yields surge / spreads widen
Oil / Iran	Continuous	War Escalates	Oil stabilizes	Potential Peace Deal
Sep FOMC	Sep. 16	Higher inflation path, higher dots, emphasizes inflation risks	Projections little changed	Lower dots, weaker outlook, Chair emphasizes downside risks

Sources: FOMC projections, CME FedWatch, Philadelphia Fed Survey, proprietary analysis